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Quads/GIP Update: Updated 2Q26 Macro Themes Deck

04/21/26 11:34AM EDT

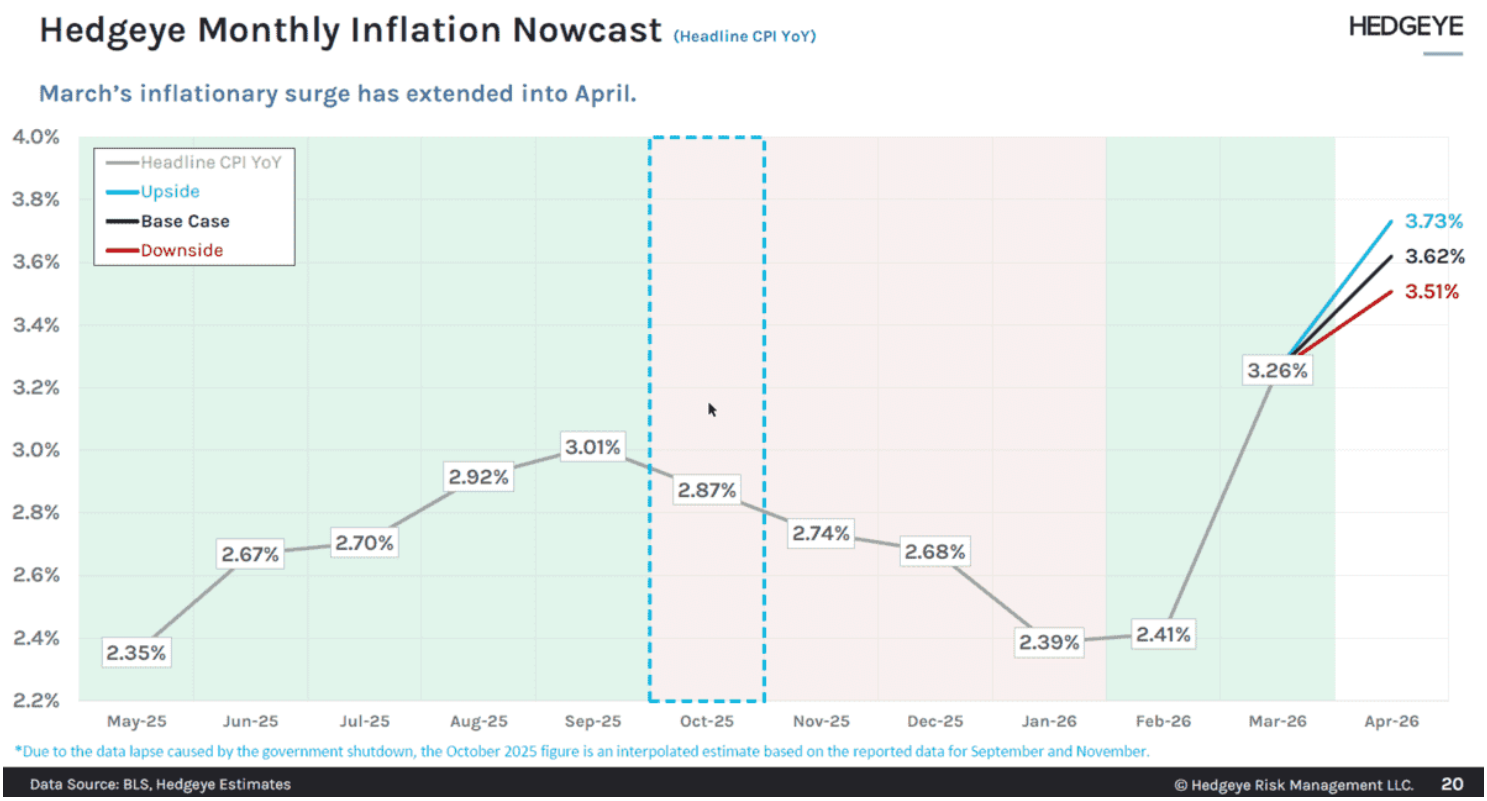
****** There are a few important elements to note in this Macro update, including our April CPI Nowcast (Slightly Lower), our Monthly May Quad (Quad 1 now vs Quad 2 prior) and Global (DM & EM) Quad expectation.**

CLICK HERE FOR THE UPDATED 2Q26 MACRO THEMES DECK

Let's begin by revisiting the neon elephant in the room: Inflation.

March CPI of 3.26% (Headline CPI Y/Y) was largely in-line with our Nowcast estimate of 3.31% and marked a +85bps acceleration in the RoC vs February's 2.41%.

Our April Nowcast of 3.62% represents a further RoC acceleration of +36bps from March levels. It's worth mentioning, however, that this is down slightly (-2bps) from our previous estimate of 3.64%.



The combination of the March actual (-5bps below our estimate) and this latest revision to our April Nowcast has lowered our Quarterly CPI estimates to 3.58% for Q2 (from 3.65%), 3.63% for Q3 (from 3.72%) and 3.95% for Q4 (from 4.05%), reductions of -7bps, -9bps and -10bps, respectively. We remain, however, well above consensus in all those periods: +17bps for Q2, +51bps for Q3, +85bps for Q4.

US Headline CPI YoY Projections

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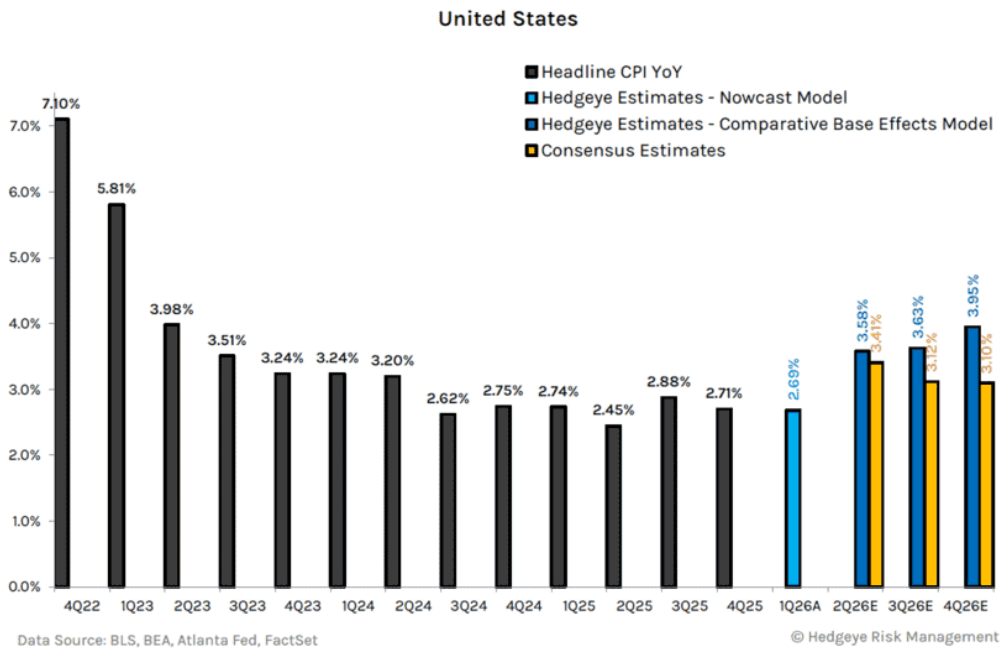

We use two distinct models to forecast the YoY growth rate of Headline CPI and the combination of the two allows us to develop both a highly accurate real-time assessment of near-term inflation momentum, as well as a high-probability scenario for where inflation is likely to trend over the NTM.

Intra-quarter, we employ a stochastic nowcasting framework that anchors on nonlinear interpolation to relay rate of change signals from the individual features of the dynamic factor model to the base rate. In out-quarters where high-frequency data has yet to be reported, we employ a Bayesian Inference process that adjusts each of the preceding forecasted base rates inversely and proportionally to changes in the base effects.

All told, our US CPI nowcast model has an average absolute forecast error of 36bps and an 85% success rate in terms of accurately projecting the rate of change of INFLATION.

Data Source: BLS, FactSet © Hedgeye Risk Management LLC. 18

On a quarterly basis, the probabilistic forecast for Q2 and Q3 remains Quad 3.

What Are The Quads?

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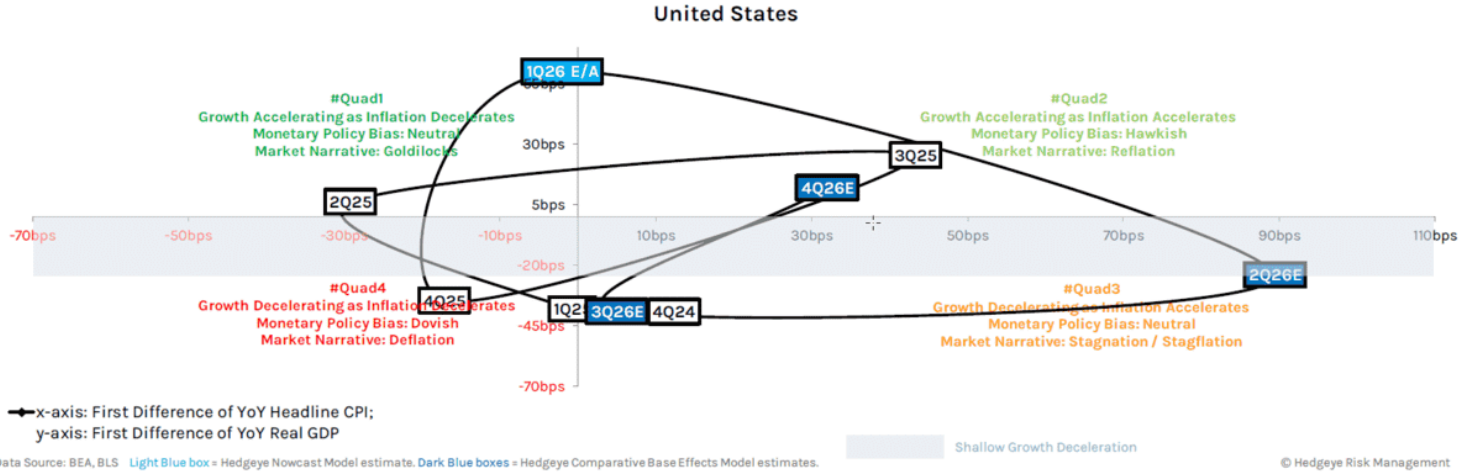
Our GIP Model is a quantitatively oriented, regime-based framework that helps investors proactively prepare for volatility phase transitions within and across asset classes by triangulating the three factors that matter most to Macro Risk Management – i.e. GROWTH, INFLATION, and POLICY.

United States	1Q23	2Q23	3Q23	4Q23	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25	← Actuals | Estimates →	1Q26 E/A	2Q26E	3Q26E	4Q26E
Real GDP QoQ SAAR	2.90%	2.50%	4.70%	3.40%	0.80%	3.60%	3.30%	1.90%	-0.60%	3.80%	4.40%	0.50%	Real GDP QoQ SAAR	1.70%	2.84%	2.76%	0.95%
Real GDP YoY	2.31%	2.79%	3.23%	3.39%	2.86%	3.13%	2.79%	2.40%	2.02%	2.08%	2.34%	1.99%	Real GDP YoY	2.59%	2.35%	1.96%	2.08%
2yr Comparative Base Effects	2.92%	7.42%	3.75%	3.54%	3.17%	2.62%	2.79%	2.35%	2.59%	2.96%	3.01%	2.90%	2yr Comparative Base Effects	2.44%	2.60%	2.56%	2.19%
Headline CPI YoY	5.81%	3.98%	3.51%	3.24%	3.24%	3.20%	2.62%	2.75%	2.74%	2.45%	2.88%	2.71%	Headline CPI YoY	2.69%	3.58%	3.63%	3.95%
2yr Comparative Base Effects	4.93%	6.74%	6.83%	6.90%	6.89%	6.31%	5.92%	5.17%	4.53%	3.59%	3.07%	2.99%	2yr Comparative Base Effects	2.99%	2.82%	2.75%	2.73%



Data Source: BLS, BEA © Hedgeye Risk Management LLC. 6

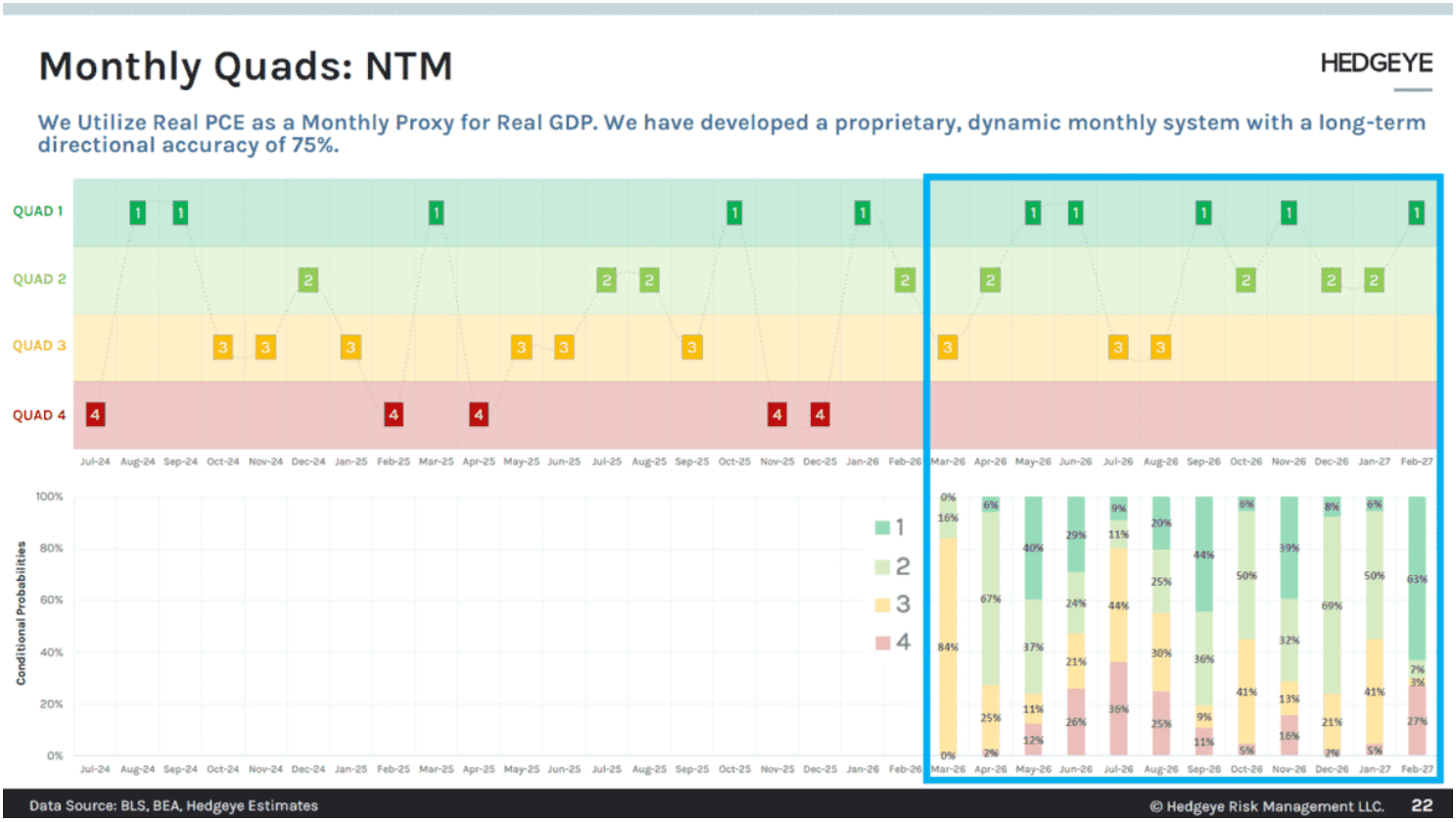
On a Monthly Quad basis, things have become more interesting.

Our original base case for April Monthly Quad was Quad 2. That has been the operative condition set from a Markets/Signal standpoint for the last ~3 weeks.

Our forecast for May had been monthly Quad 2 but just shifted slightly such that it is now Quad 1. To be clear, based on the conditional probabilities, May is nearly a coinflip between Quad 1 and Quad 2 but does lean slightly more Quad 1. This is followed in June by another expected Monthly Quad 1, albeit June's conditional probabilities are far more evenly distributed, i.e. (far) less probabilistic tilt on either vector.

The next significant risk event reflected in the Monthly Quad outlook is July with an expected Quad 3 – similar to what was anticipated for March. This is followed by another Quad 3 in August, but a slightly lower probability tilt than that of July.

From September through February, the Monthly Quad outlook is largely favorable, tilting between Quad 1 and Quad 2 over that period with heavy tilts in September, November and December.



Looking globally, the G20 suggests modal probabilities for Q2/Q3/Q4 of Quad 3, Quad 3, and Quad 4. China looks interesting with Quad 2, Quad 1, Quad 1. Contrast that with Germany's Quad 3, Quad 3, Quad 4.

The Quads Are Global

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G20 GIP Model Summary

4/20/2026	Hedgeye Macro GIP Model Signals												
	Actuals									Estimates			
	4Q23	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26E	2Q26E	3Q26E	4Q26E
Argentina	3	3	2	4	1	1	1	4	4	2	4	1	4
Australia	4	4	4	4	2	1	2	2	2	3	3	3	4
Brazil	2	1	1	2	3	3	3	4	1	4	3	4	2
Canada	4	4	1	1	1	3	4	3	3	1	2	3	1
China	1	2	3	3	1	1	3	4	3	2	2	1	1
Eurozone	1	1	1	1	2	2	4	3	3	-	3	3	4
France	1	1	4	1	4	1	1	2	1	2	2	3	2
Germany	1	4	1	1	3	2	4	2	2	3	3	3	4
India	4	1	4	4	2	4	4	1	4	3	2	3	4
Indonesia	1	1	4	4	1	4	2	3	2	2	4	2	3
Italy	1	4	1	3	2	2	4	1	1	3	3	1	3
Japan	4	4	2	2	3	2	1	4	4	4	3	3	2
Mexico	4	3	2	3	4	1	3	1	2	3	2	2	3
Russia	3	2	3	3	2	3	4	4	1	4	1	2	3
South Africa	2	4	4	1	1	2	4	2	3	1	2	3	2
South Korea	2	1	4	4	4	3	1	1	3	1	2	3	2
Spain	2	1	2	4	2	3	4	3	2	4	3	2	4
Turkey	3	2	3	1	1	4	1	4	4	4	1	1	1
United Kingdom	4	1	1	1	2	3	3	3	4	4	3	4	4
United States	1	4	1	4	3	4	1	2	4	1	3	3	2
MODE/MEDIAN	1	1	1	4	2	3	4	4	4	4	3	3	4

GROWTH						
	Real GDP YoY					NTM Δ
COUNTRY	4Q25	1Q26E	2Q26E	3Q26E	4Q26E	4Q26E Less 1Q26E
Argentina	2.06	2.34	2.13	3.67	3.63	129bps
Australia	2.56	2.40	2.23	2.13	2.06	-34bps
Brazil	1.84	1.63	1.51	1.45	2.02	39bps
Canada	0.72	1.48	1.71	1.63	1.89	41bps
China	3.40	4.90	5.01	5.02	5.13	23bps
Eurozone	1.20	1.00	0.95	0.89	0.84	-16bps
France	1.23	1.26	1.34	0.65	0.81	-45bps
Germany	0.60	0.42	0.39	0.37	0.32	-10bps
India	7.80	6.42	6.57	6.17	6.07	-35bps
Indonesia	5.39	5.41	5.11	5.25	5.08	-33bps
Italy	0.80	0.79	0.71	0.89	0.82	3bps
Japan	0.40	0.26	0.21	0.16	0.80	55bps
Mexico	1.79	1.19	1.32	1.75	1.60	40bps
Russia	0.95	0.84	0.99	1.14	0.86	2bps
South Africa	0.83	1.90	2.02	1.52	1.60	-30bps
South Korea	1.58	2.44	2.62	1.85	2.25	-20bps
Spain	2.73	2.50	2.16	2.28	2.04	-46bps
Turkey	3.42	3.35	3.51	3.64	4.05	70bps
United Kingdom	1.00	0.92	0.82	0.72	0.67	-25bps
United States	1.99	2.59	2.35	1.96	2.08	-51bps
MODE/MEDIAN	1.68	1.76	1.86	1.69	1.95	19bps

Strength Of Signal				
	Conditional Probability Of Est. Δ			
	1Q26E	2Q26E	3Q26E	4Q26E
Argentina	54	53	74	51
Australia	56	56	54	53
Brazil	56	53	52	65
Canada	71	56	52	57
China	84	53	50	53
Eurozone	55	51	51	51
France	51	52	69	54
Germany	55	51	51	51
India	98	62	82	58
Indonesia	51	64	57	58
Italy	50	52	54	52
Japan	55	52	52	74
Mexico	61	52	58	53
Russia	53	54	54	58
South Africa	71	52	60	52
South Korea	98	61	97	74
Spain	54	56	52	54
Turkey	52	54	53	60
United Kingdom	51	52	52	51
United States	75	60	66	55
MODE/MEDIAN	55	53	54	54

INFLATION						
	Headline CPI YoY					NTM Δ
COUNTRY	4Q25	1Q26E	2Q26E	3Q26E	4Q26E	4Q26E Less 1Q26E
Argentina	31.40	32.70	30.62	29.68	26.70	-600bps
Australia	3.26	3.85	4.55	4.83	4.55	70bps
Brazil	4.47	4.13	4.17	4.06	4.20	7bps
Canada	2.25	2.15	2.73	2.88	2.61	46bps
China	0.57	0.83	0.98	0.97	0.72	-12bps
Eurozone	2.07	2.07	2.63	2.78	2.77	70bps
France	0.77	1.17	2.00	2.13	2.42	125bps
Germany	2.30	2.30	2.77	2.98	2.68	38bps
India	0.57	3.12	3.71	4.64	4.50	139bps
Indonesia	2.83	3.93	3.23	3.28	3.30	-63bps
Italy	1.20	1.37	1.83	1.72	1.93	57bps
Japan	2.67	1.75	1.92	2.17	2.20	45bps
Mexico	3.69	4.13	4.20	4.37	4.60	47bps
Russia	6.65	5.92	5.85	5.93	6.03	11bps
South Africa	3.57	3.38	3.56	3.72	3.97	59bps
South Korea	2.37	2.07	2.43	2.57	2.62	55bps
Spain	3.13	2.77	3.12	3.43	3.27	50bps
Turkey	31.61	31.02	29.98	28.36	26.02	-500bps
United Kingdom	3.40	3.33	3.70	3.58	3.57	23bps
United States	2.71	2.69	3.58	3.63	3.95	126bps
MODE/MEDIAN	2.77	2.94	3.39	3.51	3.43	49bps

Strength Of Signal				
	Conditional Probability Of Est. Δ			
	1Q26E	2Q26E	3Q26E	4Q26E
Argentina	53	55	52	58
Australia	98	98	84	84
Brazil	69	52	56	58
Canada	59	98	75	87
China	71	62	51	70
Eurozone	50	86	60	51
France	85	98	62	75
Germany	50	79	64	69
India	98	89	98	59
Indonesia	98	98	54	51
Italy	59	75	56	62
Japan	98	65	73	53
Mexico	82	55	62	67
Russia	70	52	52	53
South Africa	69	69	66	76
South Korea	79	86	63	55
Spain	71	70	68	59
Turkey	54	58	62	67
United Kingdom	54	70	56	51
United States	52	98	54	78
MODE/MEDIAN	70	72	62	61

Data Source: Government Statistic Agencies, BIS, World Bank, and IMF. Intellectual Property of Hedgeye Risk Management.
LIGHT BLUE header = Hedgeye Nowcast Model estimates. BLUE header = Hedgeye Comparative Base Effects Model estimates. GREEN/RED shading in GDP and CPI projections denotes sequential acceleration/deceleration.
Conditional probability inversely proportional to the prior base rate's percentile score within a 95% confidence interval band around the projected GROWTH or INFLATION rate in a given quarter.

Data Source: Government Statistics Agencies, BIS, World Bank, IMF © Hedgeye Risk Management LLC. 26

The EM outlook remains largely dominated by stagflation with Quad 3 remaining the modal tendency for Q2, Q3, Q4.

The Quads Are Global

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Emerging Market GIP Model Summary

4/20/2026	Hedgeye Macro GIP Model Signals												
	Actuals									Estimates			
	4Q23	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26E	2Q26E	3Q26E	4Q26E
Argentina	3	3	2	4	1	1	1	4	4	2	4	1	4
Brazil	2	1	1	2	3	3	3	4	1	4	3	4	2
Chile	4	1	3	2	2	3	1	4	4	1	2	1	3
China	1	2	3	3	1	1	3	4	3	2	2	1	1
Colombia	4	4	1	1	1	1	4	2	3	2	3	3	2
Czech Republic	1	4	2	1	3	1	4	2	4	1	3	3	1
Greece	2	4	1	2	4	3	3	1	1	3	3	4	3
Hong Kong	2	4	1	3	1	2	2	1	2	3	3	1	3
India	4	1	4	4	2	4	4	1	4	3	2	3	4
Indonesia	1	1	4	4	1	4	2	3	2	2	4	2	3
Israel	4	1	3	2	1	3	4	1	1	4	2	4	3
Malaysia	4	2	2	4	4	4	1	2	2	3	3	4	4
Mexico	4	3	2	3	4	1	3	1	2	3	2	2	3
Peru	1	1	1	1	2	4	3	1	3	3	3	3	1
Philippines	4	1	2	4	1	1	1	3	3	2	3	2	2
Poland	1	1	1	3	2	3	1	1	1	4	3	1	3
Russia	3	2	3	3	2	3	4	4	1	4	1	2	3
Saudi Arabia	4	1	2	1	2	3	2	2	1	4	4	3	3
Singapore	1	1	1	1	4	4	1	4	2	3	3	3	3
South Africa	2	4	4	1	1	2	4	2	3	1	2	3	2
South Korea	2	1	4	4	4	3	1	1	3	1	2	3	2
Taiwan	2	1	4	3	4	2	1	1	1	4	3	3	3
Thailand	1	1	2	1	2	3	4	4	2	4	3	2	4
Turkey	3	2	3	1	1	4	1	4	4	4	1	1	1
MODE/MEDIAN	4	1	2	1	1	3	1	1	1	4	3	3	3

GROWTH						
	Real GDP YoY					NTM Δ
COUNTRY	4Q25	1Q26E	2Q26E	3Q26E	4Q26E	4Q26E Less 1Q26E
Argentina	2.06	2.34	2.13	3.67	3.63	129bps
Brazil	1.84	1.63	1.51	1.45	2.02	39bps
Chile	1.60	1.71	2.49	2.63	2.45	74bps
China	3.40	4.90	5.01	5.02	5.13	23bps
Colombia	2.27	2.56	2.46	2.33	2.55	-1bps
Czech Republic	2.46	2.68	2.46	2.31	2.66	-3bps
Greece	2.52	2.35	2.22	2.13	2.06	-29bps
Hong Kong	3.80	2.74	2.64	2.76	2.51	-23bps
India	7.80	6.42	6.57	6.17	6.07	-35bps
Indonesia	5.39	5.41	5.11	5.25	5.08	-33bps
Israel	4.07	3.97	6.05	3.90	3.84	-13bps
Malaysia	6.30	5.30	4.68	4.38	4.33	-97bps
Mexico	1.79	1.19	1.32	1.75	1.60	40bps
Peru	3.16	2.94	2.86	2.84	3.03	9bps
Philippines	3.02	4.25	4.08	5.37	5.84	158bps
Poland	4.10	3.96	3.84	3.88	3.76	-19bps
Russia	0.95	0.84	0.99	1.14	0.86	2bps
Saudi Arabia	5.03	4.95	4.15	3.56	3.07	-188bps
Singapore	5.70	4.60	4.00	2.25	0.90	-370bps
South Africa	0.83	1.90	2.02	1.52	1.60	-30bps
South Korea	1.58	2.44	2.62	1.85	2.25	-20bps
Taiwan	12.65	9.75	7.24	6.52	2.71	-704bps
Thailand	2.50	1.55	1.30	2.40	2.25	70bps
Turkey	3.42	3.35	3.51	3.64	4.05	70bps
MODE/MEDIAN	3.09	2.84	2.75	2.70	2.69	-16bps

Strength Of Signal				
	Conditional Probability Of Est. Δ			
	1Q26E	2Q26E	3Q26E	4Q26E
Argentina	54	53	74	51
Brazil	56	53	52	65
Chile	52	64	53	53
China	84	53	50	53
Colombia	55	52	52	54
Czech Republic	56	56	54	60
Greece	53	52	51	51
Hong Kong	84	53	54	58
India	98	62	82	58
Indonesia	51	64	57	58
Israel	53	98	98	52
Malaysia	67	61	55	51
Mexico	61	52	58	53
Peru	52	51	52	54
Philippines	72	53	73	59
Poland	55	54	51	54
Russia	53	54	54	58
Saudi Arabia	52	65	61	59
Singapore	74	63	89	80
South Africa	71	52	60	52
South Korea	98	61	97	74
Taiwan	98	98	79	98
Thailand	67	55	70	53
Turkey	52	54	53	60
MODE/MEDIAN	56	54	56	56

INFLATION						
	Headline CPI YoY					NTM Δ
COUNTRY	4Q25	1Q26E	2Q26E	3Q26E	4Q26E	4Q26E Less 1Q26E
Argentina	31.40	32.70	30.62	29.68	26.70	-600bps
Brazil	4.47	4.13	4.17	4.06	4.20	7bps
Chile	3.43	2.67	2.88	2.75	3.15	48bps
China	0.57	0.83	0.98	0.97	0.72	-12bps
Colombia	5.30	5.40	5.70	6.12	6.50	110bps
Czech Republic	2.23	1.63	1.82	1.83	1.70	7bps
Greece	2.43	3.13	3.42	3.37	3.64	50bps
Hong Kong	1.27	1.52	1.93	1.72	2.12	60bps
India	0.57	3.12	3.71	4.64	4.50	139bps
Indonesia	2.83	3.93	3.23	3.28	3.30	-63bps
Israel	2.49	1.87	2.02	1.76	1.87	0bps
Malaysia	1.43	1.57	1.72	1.68	1.68	12bps
Mexico	3.69	4.13	4.20	4.37	4.60	47bps
Peru	1.41	2.57	3.71	3.78	3.72	115bps
Philippines	1.67	2.83	4.27	4.57	4.73	190bps
Poland	2.57	2.40	3.13	2.73	2.77	37bps
Russia	6.65	5.92	5.85	5.93	6.03	11bps
Saudi Arabia	2.05	1.78	1.65	1.66	1.72	-7bps
Singapore	1.20	1.67	2.02	2.25	2.33	67bps
South Africa	3.57	3.38	3.56	3.72	3.97	59bps
South Korea	2.37	2.07	2.43	2.57	2.62	55bps
Taiwan	1.33	1.22	1.68	1.75	1.80	58bps
Thailand	-0.51	-0.54	0.20	0.49	0.38	92bps
Turkey	31.61	31.02	29.98	28.36	26.02	-500bps
MODE/MEDIAN	2.40	2.62	3.18	3.02	3.22	61bps

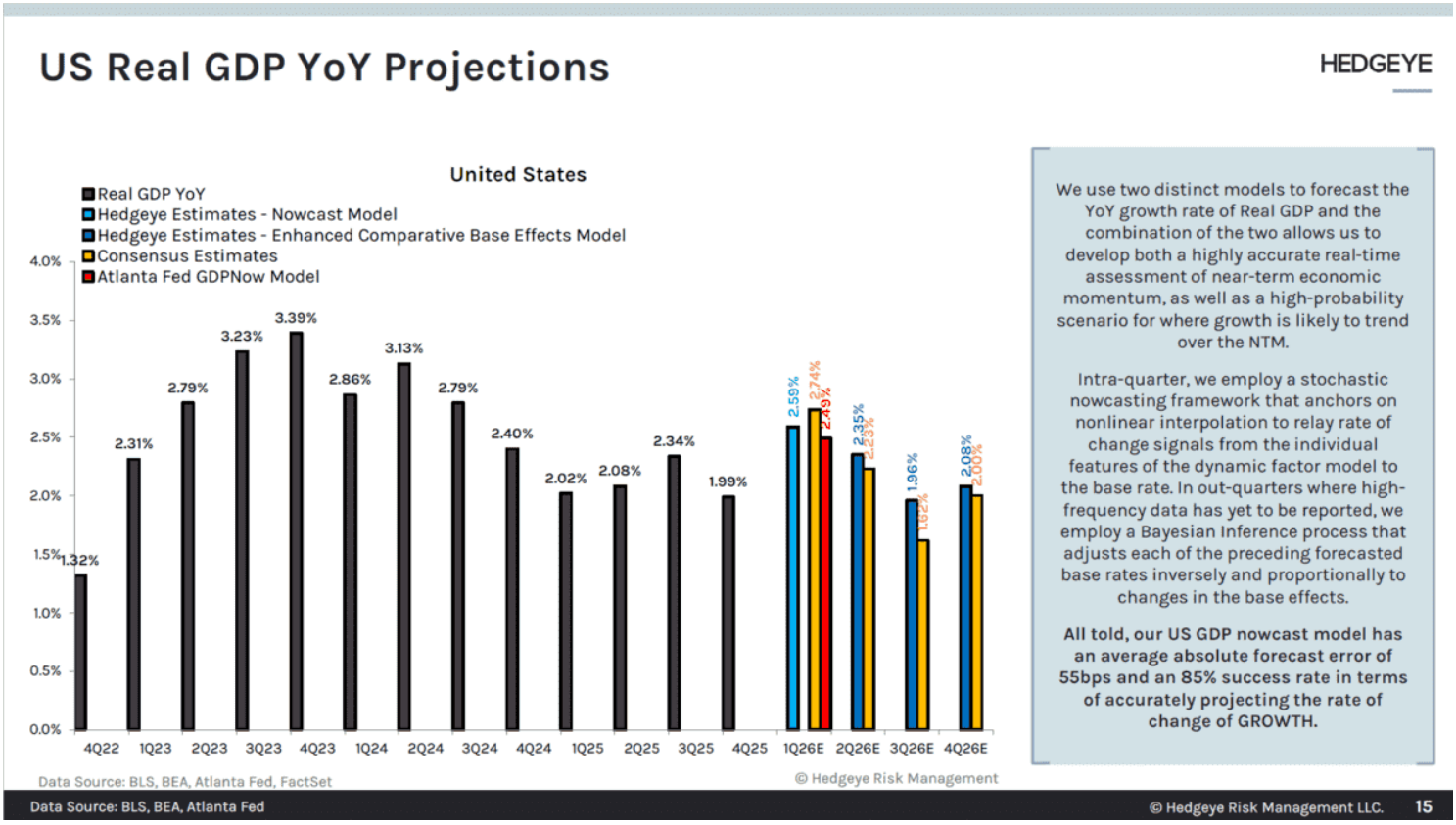
Strength Of Signal				
	Conditional Probability Of Est. Δ			
	1Q26E	2Q26E	3Q26E	4Q26E
Argentina	53	55	52	58
Brazil	69	52	56	58
Chile	92	62	57	72
China	71	62	51	70
Colombia	55	66	73	70
Czech Republic	76	58	51	56
Greece	82	63	52	62
Hong Kong	65	76	63	75
India	98	89	98	59
Indonesia	98	98	54	51
Israel	95	61	69	58
Malaysia	59	61	52	50
Mexico	82	55	62	67
Peru	98	98	55	54
Philippines	98	98	66	59
Poland	56	75	64	51
Russia	70	52	52	53
Saudi Arabia	62	57	51	53
Singapore	84	76	67	56
South Africa	69	69	66	76
South Korea	79	86	63	55
Taiwan	63	98	59	56
Thailand	52	96	68	57
Turkey	54	58	62	67
MODE/MEDIAN	71	64	61	58

Data Source: Government Statistic Agencies, BIS, World Bank, and IMF. Intellectual Property of Hedgeye Risk Management.
LIGHT BLUE header = Hedgeye Nowcast Model estimates. BLUE header = Hedgeye Comparative Base Effects Model estimates. GREEN/RED shading in GDP and CPI projections denotes sequential acceleration/deceleration.
Conditional probability inversely proportional to the prior base rate's percentile score within a 95% confidence interval band around the projected GROWTH or INFLATION rate in a given quarter.

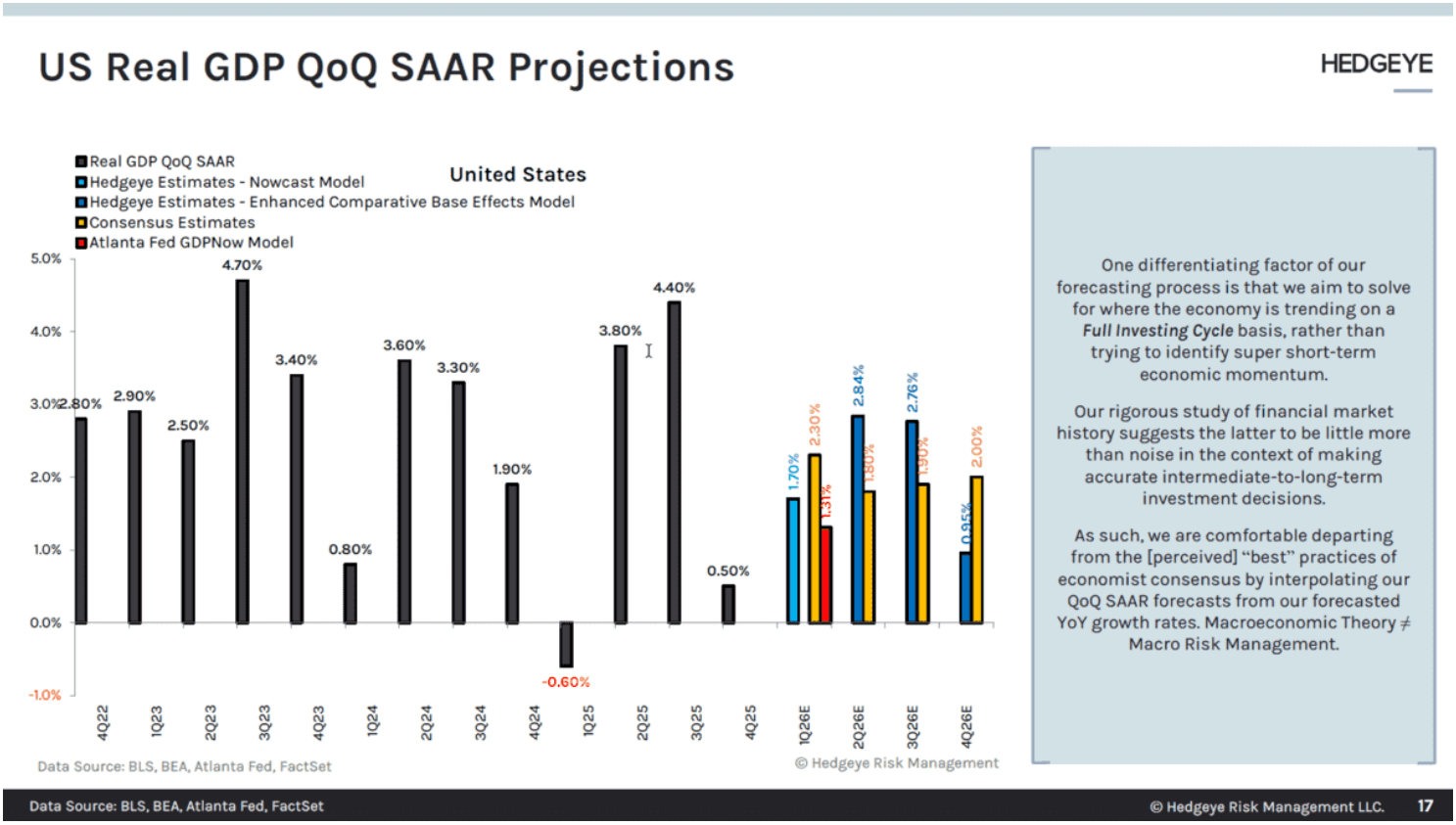
Data Source: Government Statistics Agencies, BIS, World Bank, IMF © Hedgeye Risk Management LLC. 29

On the US GDP growth side, the growth outlook has moderated slightly further and we now expect Q1 GDP growth of 2.59% Y/Y, down a further -6bps from our prior estimate of 2.65%. This still

represents RoC acceleration vs Q4 but has lost a fair amount of momentum over the last 3-5 weeks. Q1 GDP will be released (advance estimate) next Thursday on April 30th.



This puts our Q1 GDP Q/Q SAAR estimate at 1.70%.



Our US GDP Growth Q1 Nowcast table below illustrates the recent RoC data trends.

US Real GDP Nowcast Model

HEDGEYE

Each of the following 30 features backtests as statistically significant with respect to predicting the rate of change of Real GDP growth and each feature's contribution to the overall signal is dynamically re-trained each quarter according to the relative strength of its first difference regression with the dependent variable.

HEDGEYE US NOWCAST MODEL SUMMARY	Jul-24	Aug-24	Sep-24	Oct-24	Nov-24	Dec-24	Jan-25	Feb-25	Mar-25	Apr-25	May-25	Jun-25	Jul-25	Aug-25	Sep-25	Oct-25	Nov-25	Dec-25	Jan-26	Feb-26	Mar-26	4Q25	1Q26	Δ
Real PCE YoY (1)	2.97	3.05	3.44	3.29	3.25	3.56	3.31	2.73	3.19	3.15	2.53	2.50	2.63	2.79	2.38	2.47	2.25	1.62	2.24	2.47	-	2.11	2.35	0.24
Real Disposable Personal Income YoY (20)	2.86	2.76	2.82	2.71	2.43	2.21	1.79	1.79	2.34	2.80	1.51	1.19	1.68	1.83	1.83	1.42	1.27	1.13	1.64	1.06	-	1.28	1.35	0.08
Personal Savings Rate % of DPI (18)	5.3	5.2	4.8	5.0	4.9	4.3	5.1	5.2	5.1	5.5	4.9	4.6	4.5	4.4	4.3	4.0	4.0	3.9	4.5	4.0	-	4.0	4.3	0.3
Headline Retail Sales YoY (4)	3.01	1.79	1.98	3.23	3.87	4.52	4.53	3.89	5.08	4.87	3.37	4.42	4.13	4.97	4.14	3.21	3.21	2.43	3.19	3.71	-	2.95	3.45	0.50
Retail Sales Control Group YoY (9)	3.61	3.05	4.33	4.00	3.94	4.98	4.61	5.79	5.36	5.12	4.87	4.57	4.84	5.80	4.08	4.55	4.74	3.44	4.67	3.81	-	4.24	4.24	0.00
Auto Sales YoY (10)	0.51	0.60	0.64	3.48	7.70	6.13	4.00	1.20	14.72	9.72	-1.57	0.33	3.73	6.21	3.93	-4.49	-5.45	-4.64	-4.81	-1.56	-8.05	-4.86	-4.81	0.06
MBA Mortgage Purchase Index YoY (23)	-13.95	-8.57	1.93	7.16	4.78	1.15	-3.46	1.90	7.30	11.70	15.45	14.96	19.72	19.53	18.57	18.05	24.08	17.22	16.18	9.27	7.04	19.78	10.83	-8.94
Total Employees On Nonfarm Payrolls YoY (5)	1.09	0.96	0.96	0.87	0.88	0.93	0.79	0.68	0.58	0.61	0.56	0.50	0.50	0.45	0.40	0.29	0.23	0.07	0.20	0.09	0.16	0.20	0.15	-0.05
Aggregate Hours Worked YoY (2)	0.80	0.66	0.66	-	0.58	-	0.49	-	-0.01	0.90	0.27	0.20	0.50	0.16	0.11	0.29	0.23	-0.22	0.79	-	0.16	0.10	0.48	0.38
Aggregate Labor Income YoY (27)	4.46	4.61	4.60	4.65	-	-	4.49	4.21	-	4.85	4.27	4.07	4.49	4.14	3.96	4.22	-	3.50	4.48	4.16	3.69	3.86	4.11	0.24
Monthly Initial Jobless Claims YoY (14)	3.19	-6.00	1.86	11.72	2.20	5.48	0.57	5.79	2.65	6.83	3.50	0.88	-5.49	-0.38	4.40	-3.72	0.93	-1.37	-1.87	-3.80	-6.10	-1.39	-3.92	-2.54
Conference Board Consumer Confidence Index (15)	101.9	105.6	99.2	109.6	112.8	109.5	105.3	100.1	93.9	85.7	98.4	95.2	98.7	97.8	95.6	95.5	92.9	94.2	89.0	91.0	91.8	94.2	90.6	-3.6
Industrial Production YoY (3)	-0.92	-0.41	-1.20	-0.99	-1.56	-0.27	0.85	0.81	0.58	0.88	0.10	0.58	1.92	1.19	1.86	1.76	1.80	1.28	1.53	1.23	0.74	1.61	1.17	-0.45
Capacity Utilization (16)	76.0	76.3	75.7	75.4	75.2	75.9	75.6	76.3	76.1	76.1	75.9	76.2	76.4	76.1	76.0	75.6	75.4	75.7	75.7	76.1	75.7	75.6	75.8	0.2
Durable Goods New Orders YoY (8)	-0.02	0.28	-1.93	2.55	-3.43	-4.52	3.77	4.02	10.02	2.88	19.96	10.90	3.34	7.66	7.41	4.88	12.47	10.59	9.88	7.45	-	9.32	8.67	-0.65
Core Capital Goods New Orders YoY (13)	-2.28	-0.67	-0.06	-0.97	0.04	0.70	3.13	2.15	2.43	0.80	3.98	2.81	3.71	4.16	4.17	6.14	5.80	6.26	3.97	5.26	-	6.06	4.61	-1.45
Factory Orders YoY (7)	1.20	-0.04	-2.04	1.16	-0.86	-1.84	3.17	2.97	4.92	0.71	9.70	5.59	1.64	3.74	3.59	2.31	5.40	4.53	4.25	3.73	-	4.08	3.99	-0.09
Manufacturing & Trade Inventories YoY (29)	2.11	2.13	1.92	2.23	2.66	1.82	2.48	2.26	2.50	2.17	1.71	1.61	1.39	1.05	1.27	1.35	1.15	1.45	0.96	-	-	1.32	0.96	-0.36
Nonresidential Construction Spending YoY (30)	5.11	3.83	2.71	1.13	-0.63	-2.78	-0.21	-1.11	-1.13	-0.99	-0.49	-0.01	-0.38	-0.99	-0.44	-0.53	-0.46	0.67	-0.06	-	-	-0.11	-0.06	0.04
Residential Construction Spending YoY (28)	6.05	5.66	4.59	4.49	3.73	3.89	1.18	-0.57	-1.07	-4.28	-6.23	-4.09	-2.90	-1.65	-2.45	-2.41	-0.64	1.34	2.34	-	-	-0.57	2.34	2.90
ISM Manufacturing PMI (26)	47.4	47.7	47.3	47.0	48.4	49.2	50.5	50.0	48.9	48.8	48.6	49.0	48.4	48.9	48.9	48.8	48.0	47.9	52.6	52.4	52.7	48.2	52.6	4.3
ISM Non-Manufacturing PMI (17)	51.7	51.8	54.6	55.5	52.4	53.5	52.6	53.2	50.8	51.6	50.2	50.8	50.5	51.9	50.3	52.0	52.4	53.8	53.8	56.1	54.0	52.7	54.6	1.9
NFIB Small Business Optimism Index (24)	93.7	91.2	91.5	93.7	101.7	105.1	102.8	100.7	97.4	95.8	98.8	98.6	100.3	100.8	98.8	98.2	99.0	99.5	99.3	98.8	95.8	98.9	98.0	-0.9
Exports YoY (6)	6.08	6.06	3.85	2.68	7.22	3.19	4.56	4.21	6.59	9.25	5.69	4.50	4.87	3.13	7.35	11.75	5.47	5.96	10.41	12.16	-	7.73	11.28	3.55
Imports YoY (12)	9.53	8.71	9.93	5.26	10.32	12.71	22.26	19.27	26.24	3.42	3.30	-1.22	2.52	-1.90	-3.44	-3.34	-2.43	-2.16	-11.23	-7.07	-	-2.64	-9.15	-6.51
Rail Traffic YoY (11)	2.83	7.48	5.60	1.34	5.96	3.54	8.39	0.94	5.97	6.62	3.91	-0.64	3.49	1.03	-1.29	-1.21	-3.75	-2.72	-0.79	3.64	1.56	-2.56	1.47	4.03
Headline CPI YoY (21)	2.89	2.53	2.44	2.60	2.75	2.89	3.00	2.82	2.39	2.31	2.35	2.67	2.70	2.92	3.01	-	2.74	2.68	2.39	2.41	3.26	2.71	2.69	-0.02
PCE Deflator YoY (25)	2.59	2.41	2.26	2.48	2.59	2.73	2.61	2.71	2.36	2.28	2.46	2.59	2.61	2.75	2.79	2.71	2.82	2.88	2.83	2.90	-	2.80	2.82	0.01
Core PCE Deflator YoY (22)	2.81	2.87	2.84	2.99	2.98	2.89	2.78	2.97	2.67	2.61	2.78	2.81	2.86	2.91	2.83	2.75	2.83	2.97	3.05	2.97	-	2.85	3.01	0.16
M2 Money Supply YoY (19)	1.46	1.97	2.51	2.88	3.40	3.41	3.38	3.28	3.43	3.90	3.87	4.13	4.39	4.25	4.24	4.31	3.94	4.20	4.28	4.88	-	4.15	4.58	0.43

Data Sources: BEA, Census Bureau, MBA, BLS, Department of Labor, Federal Reserve, Institute for Supply Management, NFIB, and AAR. © Hedgeye Risk Management LLC. 23

All in all, the big takeaways here are that inflation remains very elevated. That said, May crossed over from a Monthly Quad 2 to a Monthly Quad 1 and is set to be followed by another Quad 1 in June. This makes the Q2 Monthly Quad progression: Quad 2, Quad 1, Quad 1. July marks the next probabilistic risk phase transition with a Monthly Quad 3 followed by another Monthly Quad 3 in August.

Next Three FOMC Meetings.

- *April 29th (99% odds of no change)*
- *June 17th (99% odds of no change)*
- *July 29th (92% odds of no change, 8% odds of a quarter point cut)*

April CPI Release Date: Scheduled for May 12th.

May CPI Release Date: Scheduled for June 10th.

Prediction markets (Polymarket) on Fed Chair Warsh's confirmation timeline. Prediction markets suggest it remains unlikely that Warsh will be confirmed by May 15th, when Powell's term is supposed to end. However, it remains likely that he'll be confirmed before the end of June.

Politics · Trump

Kevin Warsh confirmed as Fed Chair by...?

$598,925 Vol. | May 15, 2026

Polymarket

May 1 $383,405 Vol.	2% ▼49%	Buy Yes 1.9¢	Buy No 98.2¢
May 15 $215,486 Vol.	35% ▼41%	Buy Yes 36¢	Buy No 67¢
June 30 $41 Vol.	80% ▲28%	Buy Yes 84¢	Buy No 25¢

As always, let us know if you have any questions.

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